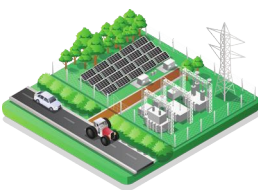


Free Cash Flow Analysis

- Some businesses are cash-seeking businesses.



Cement Industry



Solar Power Industry

- This means they are always in need of additional cash.
- It is very difficult to scale cash-heavy businesses as every leg of growth requires incremental investments.

- Some businesses are cash-producing



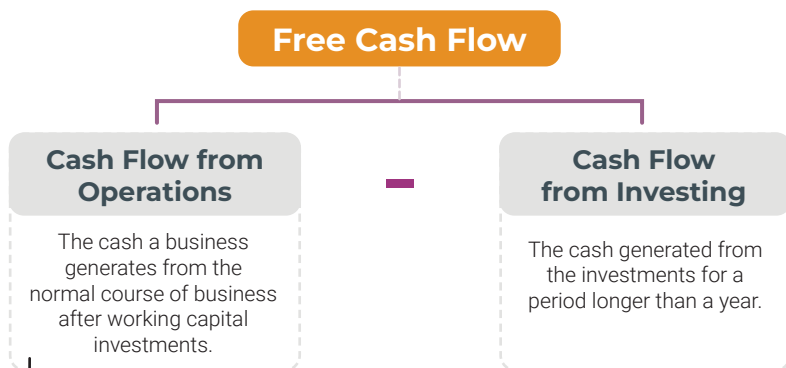
E-Commerce



Education

- They produce more cash than they need.
- Cash-producing businesses can fund themselves due to their cash-producing ability.

Free cash flow is a measure used to evaluate the industry's cash requirements. It has two components.



→ CFO is generated by the business every year.